Private vs Public Company

same Act, different rules!

Statutory Compliance

In simple words *A private company is closed and small. A public company is open to the public and has no cap on members.*

1 Private company (s.2(68))

Articles restrict share transfer, limit members to 200 and bar any invitation to the public to subscribe to its securities.

No minimum paid-up capital now (removed by 2015 Amendment).

2 Public company (s.2(71))

A company that is not a private company. Its shares are freely transferable and it may invite the public to subscribe.

Subsidiary of a public company is deemed public (s.2(71) proviso).

1. Private: min 2 members (OPC may have 1), max 200; joint holders count as one member
2. The 200 cap excludes employee-members and ex-employees who became members while employed
3. Public: min 7 members, no maximum limit; the 200 cap does not apply
4. Names end 'Private Limited' (private) and 'Limited' (public); min directors: private 2, public 3



Swipe for the summary →

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THE 5-POINT COMPARISON

learn the table, win the MCQ

Private vs Public Company

FEATURE	PRIVATE	PUBLIC
Minimum members	2 (OPC: 1)	7
Maximum members	200 (OPC: 1)	No limit
Minimum directors	2 (OPC: 1)	3
Share transfer	Restricted by articles	Freely transferable
Invite public to subscribe	Prohibited	Allowed

PRIVATE IS CLOSED, PUBLIC IS OPEN! Members, directors, share transfer and public invitation are the four tests an MCQ uses to separate the two.

Swipe for a memory trick →

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STUDY TRICK

Private vs Public Company

Private 2-2, Public 7-3

PRIVATE 2-2, PUBLIC 7-3

First number is minimum members, second is minimum directors. Private: 2 members, 2 directors. Public: 7 members, 3 directors. OPC is the one-member exception.

HOW TO ATTEMPT IT

1 Check articles for the s.2(68) limits → 2 Count members: 2/200 or 7/no cap → 3 Count directors: 2 or 3 → 4 Check if subsidiary of a public company → 5 Check OPC exception before answering

EXAM TIP

When the option says private company has 'minimum 2 members', check if a One Person Company is covered; an OPC can have 1 member.

DOUBT BUSTER

Is a private company that is a subsidiary of a public company still private? No. Under the proviso to s.2(71), it is deemed a public company for the Act, even if its articles still carry the private-company restrictions.

Swipe for common mistakes →

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COMMON MISTAKES

Private vs Public Company

small slips, lost marks

✗ A private company must have minimum 2 members, with no exception

✓ Minimum is 2, but a One Person Company, a type of private company, can have 1 member.

✗ Counting every holder, including employees, towards the 200 limit

✓ Joint holders count as one member; employee-members and ex-employees who became members while employed are excluded.

✗ Public company needs a prescribed minimum paid-up capital

✓ No minimum paid-up capital is required now for private or public company.

✗ Public company needs minimum 2 directors

✓ A public company needs minimum 3 directors; private needs 2 (OPC: 1).

Save this for revision!

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